

M/s Raman Ispat (Pvt.) Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd.

Allahabad High Court · Division Bench · 4 September 2009 · Civil Misc. Writ Petition No. 16147 of 2009 (connected with W.P. No. 27290 of 2008 and W.P. No. 16149 of 2009) · **All three connected writ petitions dismissed with costs; the Executive Engineer's order dated 09.03.2009 declining enhancement of load until the arrears of M/s Sai Steels are cleared is upheld.**

HEADNOTE

Under the amended Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 (w.e.f. 11.08.2006), a purchaser of premises who seeks a fresh connection, restoration, or enhancement of sanctioned load may lawfully be required to clear the outstanding electricity dues attributable to those premises as a condition of supply. While a transferee having no privity of contract cannot be foisted with a predecessor's dues — which are not a charge on the premises and do not run with the land at common law — that protection, drawn from *Isha Marbles* and applied through *Paschimanchal VVNL v. DUS Steels*, does not assist a purchaser seeking supply, and is in any event unavailable where the corporate veil is lifted and the purchaser company is found to be the alter ego of the defaulting consumer. Finding that the person behind the defaulting firm and the purchasing company was the same, and that the petitioner had obtained interim relief by concealment and had not approached the Court with clean hands, the Division Bench upheld the licensee's refusal to enhance load until the arrears were paid and dismissed the writ petitions with costs.

FACTUAL SUMMARY

M/s Sai Steels, a partnership firm in which Ram Pal Singh was a partner, held an electricity connection from the U.P. State Electricity Board (agreement of 1985) and defaulted on dues of about Rs. 50 lakh before applying for permanent disconnection in 2001. The connected M/s Singh Alloys Pvt. Ltd. had mortgaged the industrial plot to PICUP, which took possession under s.29 of the State Financial Corporation Act, 1951 and auctioned it to M/s HM Steels; M/s Raman Ispat Pvt. Ltd. — a company in which Ram Pal Singh was a director — subsequently bought the plot from HM Steels and from another purchaser, becoming owner of the whole premises. When Raman Ispat applied to enhance its sanctioned load, PVVNL invoked Clause 4.3(f) and required the arrears of Sai Steels to be cleared first. The Executive Engineer's order dated 09.03.2009 rejecting that request was challenged, together with a prayer to restrain recovery and encashment of a cheque for Rs. 50,34,016, in three connected writ petitions.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

A purchaser of premises seeking enhancement of load may be required to clear the previous consumer's outstanding electricity dues

QUESTION

Can a licensee require a purchaser of premises, who seeks enhancement of sanctioned load, to first clear the outstanding electricity dues of the previous consumer on those premises?

HOLDING

Yes. Under the amended Clause 4.3(f) it is the duty of both the seller and the purchaser to ascertain and clear the outstanding electricity dues of the premises, which are made a first charge on the defaulting company's assets [(f)(iv)] with recovery also from its directors [(f)(v)]. Applying *Paschimanchal VVNL v. DUS Steels*, the Court held that although a transferee with no privity cannot be foisted with a predecessor's dues (which are not a charge on the premises), a purchaser who approaches the distributor for a fresh connection, restoration, or enhancement of load can lawfully be required to clear the premises' past dues as a condition of supply, and that such a stipulation is neither unreasonable nor arbitrary. The Executive Engineer therefore rightly declined to enhance the load of M/s Raman Ispat until the dues of M/s Sai Steels were cleared. ¶ 6-14

QUALIFIER

The protection against being saddled with a predecessor's dues is unavailable where the corporate veil is lifted and the purchaser is found to be the alter ego of the defaulting consumer.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer A person with no privity cannot be foisted with a predecessor's electricity dues, but a purchaser who himself seeks a fresh connection, restoration, or enhancement of load stands on a different footing: the licensee may condition supply on clearance of the premises' past arrears. The distinction, drawn in *DUS Steels*, was applied to deny relief to the purchaser here. Lead authorities: *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels and Alloys Pvt. Ltd.*, *Isha Marbles v. Bihar State Electricity Board*. ¶ 9-10

electricity-arrears-not-a-charge-transferee-liable-only-under-statutory-rules Electricity dues are not a charge on the premises and do not run with the land at common law; a transferee becomes liable only where a statutory rule so provides — here the amended Clause 4.3(f), which makes clearance of the premises' arrears a condition of supply and a first charge on the defaulting company's assets. Lead authorities: *Isha Marbles v. Bihar State Electricity Board*, *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.*, *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels and Alloys Pvt. Ltd.* ¶ 7-10

lifting-corporate-veil-to-fix-arrears-liability Where the purchasing company is controlled by the very person behind the defaulting firm — Ram Pal Singh was partner/director across Sai Steels, Singh Alloys and Raman Ispat — the department may lift the corporate veil; the 'no privity' protection is unavailable to a purchaser who is the alter ego of the defaulter, and a chain of acquisitions and name-changes engineered to escape the dues will be seen through. ¶ 10-13

no-relief-to-litigant-without-clean-hands The petitioner obtained a summer-vacation interim order restraining disconnection and cheque encashment by withholding facts and painting a false picture, and had spun a web of acquisitions to defeat the dues. Having not come to the Court with clean hands, he was denied relief and the petitions were dismissed with costs. ¶ 12-14

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE AMENDED CLAUSE 4.3(F)(I) (IN FORCE 11.08.2006) APPLIES TO A PURCHASER DERIVING TITLE THROUGH A PRE-2006 STATUTORY SALE BY A STATE FINANCIAL CORPORATION UNDER S.29 OF THE STATE FINANCIAL CORPORATION ACT, 1951

The petitioner argued that the clause could not apply to a statutory sale predating it; the Court did not decide the retrospectivity / statutory-sale question, disposing of the matter on the failure to disprove the relationship between the firm and the company, the lifting of the corporate veil, and the want of clean hands. ¶ 8, 12-14

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DUS Steels and Alloys Pvt. Ltd.</i> JT 2008 (12) SC 672 Supreme Court of India	Supply of electricity by a distributor to a consumer is a 'sale of goods'; a transferee or subsequent occupant with no privity of contract cannot be asked to pay a predecessor's dues, which do not constitute a charge on the premises; but a purchaser who approaches the distributor seeking a fresh connection may be required to clear the premises' past arrears as a condition of supply, and such a stipulation is not unreasonable or arbitrary.	Relied on to hold that the licensee could condition enhancement of load on clearance of the premises' arrears; the 'no privity' protection does not assist a purchaser seeking supply. ¶ 9-10	Respondent	Relied on
<i>Isha Marbles v. Bihar State Electricity Board & Anr.</i> (1995) 2 SCC 648 Supreme Court of India	Past electricity dues of a previous consumer are not a charge on the property; a transferee/auction purchaser with no privity cannot be saddled with the predecessor's arrears as a condition of a fresh connection.	Cited by the petitioner; the Court applied the <i>DUS Steels</i> gloss under which the protection does not extend to a purchaser seeking a fresh connection or enhancement, and found the petitioner disentitled on veil-lifting and clean-hands grounds. ¶ 7-10	Petitioner	Distinguished
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns</i>	A fresh electricity connection to a purchaser cannot be subjected to	Cited by the petitioner alongside <i>Isha Marbles</i> ; not	Petitioner	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>(P) Ltd.</i> (2004) SCC 587 Supreme Court of India	the liability to clear dues incurred by the previous owner; past dues are not a charge over the property.	applied in the petitioner's favour on the facts. ¶ 7-8		

SCJ-707 · M/s Raman Ispat (Pvt.) Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.